IN THE NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH

C.P (CAA) No. 71/2017
U/sec.230-232 r/w Sec.66 of the Companies Act, 2013
Order Delivered on: **23rd March 2018**

Coram: Hon'ble Shri Ratakonda Murali, Member (Judicial)
Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

IN THE MATTER OF SCHEME OF AMALGAMATION
BETWEEN
MEMG HOLDINGS PRIVATE LIMITED
AND
MANIPAL EDUCATION & MEDICAL
GROUP INDIA PRIVATE LIMITED
WITH
MANIPAL INTEGRATED SERVICES PRIVATE LIMITED
AND
THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

MEMG Holdings Private Limited,
#24/1, 15th Floor, JW Marriott,
Vittal Mallya Road,
Ashok Nagar,
Bengaluru- 560 001 - **Petitioner Company No.1**

Manipal Education & Medical Group India Private Limited,
#24/1, 15th Floor, JW Marriott,
Vittal Mallya Road,
Ashok Nagar, Bengaluru- 560 001 - **Petitioner Company No.2**

Manipal Integrated Services Private Limited,
Tower B-1, 3rd Floor, Golden Enclave,
Old Airport Road,
Bengaluru - 560 017 - **Petitioner Company No.3**

Parties Present :
1) Mr. Saji P.John, Advocate, SPJ Legal, Unit No.1002, 10th Floor, # 30, Prestige Meridian II M G Road, Bengaluru 560001-Counsel for the Petitioner Companies.
2) Ms. Sinchana M. R., Standing Counsel for Central Government appearing for ROC & RD.
3) Mr. Pramod Kumar, Assistant - Representative for Official Liquidator.

Per: **Hon'ble Shri Ratakonda Murali, Member (Judicial)** – Author

Heard on: 07.11.2017, 22.12.2017, 23.01.2018, 13.02.2018 & 07.03.2018.

ORDER

This Company Petition was filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013, praying to order for sanctioning the Scheme of Amalgamation between **MEMG Holdings Private Limited** (Petitioner Company No.1), **Manipal Education & Medical Group India Private Limited** (Petitioner Company No.2) are proposed to be merged with **Manipal Integrated Services Private Limited** (Petitioner Company No.3) and shall be binding upon all the Shareholders and Creditors of the respective Petitioner Companies.

The averments made in the Company Petition are briefly described hereunder:-

The Petitioner Companies seeks an order for sanctioning the Scheme of Amalgamation of **MEMG Holdings Private Limited** (Petitioner Company No.1), **Manipal Education & Medical Group India Private Limited** (Petitioner Company No.2) are proposed to be merged with **Manipal Integrated Services Private Limited** (Petitioner Company No.3) and shall be binding upon all the Shareholders and Creditors of the Petitioner Companies. The Scheme of Amalgamation is shown as **Annexure A**.

The Petitioner Company No.1 was originally incorporated on 7th November 2003 under the name and style of "Caraka Academy for Lifelong Learning Private Limited" in the State of Karnataka vide Certificate of Incorporation vide bearing CIN No.**U08030KA2003PTC032827**. Thereafter, the name was changed to "Cypress Holdings Private Limited" on 23rd December 2005. Subsequently, the name was further changed to "**MEMG Holdings Private Limited**" on 8th July 2008. It is averred that, the Petitioner Company No.1 has not yet commenced its business operations. Copy of the Memorandum and Articles of Association of the Petitioner Company No.1 is shown as **Annexure-B**.

The Registered office of the Petitioner Company No.1 is situated at #24/1, 15th Floor, JW Marriott, Vittal Mallya Road, Bengaluru- 560 001.

The Main objects of the Petitioner Company No.1 as set out in its Memorandum of Association are, inter alia includes, hereunder:

1) To carry on the business of investors and financiers of all kinds and description.
2) To purchase, acquire, apply for, subscribe, invest in, hold, possess, retain, sell, transfer, dispose of, guarantee, trade in, pledge, forward, deal or otherwise lodge deal in shares,. Stocks, debentures, debenture stocks, warrants, share scripts, share applications, deposit certificates, securities bonds, individuals or other organisations whether in India or elsewhere.

As per the Audited Balance Sheet of the Petitioner Company No.1 as on 31st March, 2017 the Assets and Liabilities are as follows:

(INR in Crore)

Liabilities	**Amount**	**Asset**	**Amount**
Share Capital	4,750	Non-current assets	22,492
Reserves and Surplus	(1,098)	Current Assets	0.051
Non-current liabilities	18,888		
Current liabilities	0.003		
Total	**22,543**	**Total**	**22,543**

The Copy of Audited Balance Sheet as on 31st March, 2017 of the Petitioner Company No.1is shown as **Annexure C.**

The Petitioner Company No.2 was incorporated on 12th June, 2000 under the name and style of **MANIPAL EDUCATION & MEDICAL GROUP INDIA PRIVATE LIMITED** in the State of Karnataka and vide Certificate of Incorporation bearing No.**U80301KA2000PTC027257**.

The Registered office of the Petitioner Company No.2 is situated at #24/1, 15th Floor, JW Marriott, Vittal Mallya Road, Ashok Nagar, Bengaluru- 560 001.

The Main objects of the Petitioner Company No.2 as set out in its Memorandum of Association are, inter alia includes, hereunder:

To promote, aid, coordinate, organise, facilitate, develop, investigate, foster, conduct, institutionalize and consolidate all forms of education and healthcare in any manner, including but not limited to the founding of medical and educational institutions, including but not limited to schools, colleges, universities, hospitals, treatment centres and care units, diagnostic centres, pharmacy's laboratories, nursing homes, learning centres, technical training institutions, societies for specialised training or treatments, etc. and to impart beneficial services to the society by providing medical aid or by imparting knowledge and education and the promoting, aiding, coordinating, organizing, facilitating, developing, investigating, fostering, conducting, institutionalizing research in the fields of medical science, healthcare, education and other related areas for the extension of knowledge in those areas for the further development of medical and education.

The Copy of Certificate of Incorporation, Memorandum and Articles of Association of the Petitioner Company No.2 are shown as **Annexure-D.**

As per the Audited Balance Sheet of the Petitioner Company No.2 as on 31st March, 2017 the Assets and Liabilities are as follows:

(INR in Crore)

Liabilities	**Amount**	**Asset**	**Amount**
Share Capital	120.34	Non-current assets	493.34
Reserves and Surplus	217.96	Current Assets	96.63
Non-current liabilities	130.26		
Current liabilities	121.41		
Total	**589.97**	**Total**	**589.97**

The Copy of Audited Balance Sheet as on 31st March, 2017 of the Petitioner Company No.2 is shown as **Annexure E.**

The Petitioner Company No.3 was incorporated on 9th January, 2004 under the name of MANIPAL SERVICECORP FACILITY MANAGEMENT PRIVATE LIMITED. Subsequently, the name of the Company was changed to **MANIPAL INTEGRATED SERVICES PRIVATE LIMITED** on 20th May, 2013 and obtained fresh Certificate of Incorporation vide bearing CIN No.U4140KA2004PTC033168.

The Registered Office of the Petitioner Company No.3 is situated at Tower B-1, 3rd Floor, Golden Enclave, Old Airport Road, Bengaluru - 560 017.

The Main objects of the Petitioner Company No.3 as set out in its Memorandum of Association are, inter alia includes, hereunder:

1) To provide all or any types, descriptions, classifications, kinds, forms and varieties of services, including but not limited to facilities management services , student staying facilities services, housekeeping services, equipment repair services, laundry and linen management services, food service management services, transport and logistics management services, facility engineering and maintenance services, waste management services, consulting services, advisory services, education services, training services, recruitment services, financial service, administrative services, knowledge based services, quality assurance programmes and services, communication services, software services, information technology enabled services, marketing services, advertising services, services relating to sales, distribution services, import and services, maintenance services, health services, systems services, planning services, and to carry out , conduct, promote, aid, sponsor, co-ordinate, support, facilitate, institutionalize, advance, initiate and enable integrated facilities institutionalize, advance, initiate and enable integrated facilities management services, and to establish training centres, inst8itutions schools, colleges, training centers, technical centers, for specialized training to any persons whomsoever in the field of integrated facilities management services.

The Copy of Certificate of Incorporation, Memorandum and Articles of Association of the Petitioner Company No.3 are shown as **Annexure F.**

As per the Audited Balance Sheet of the Petitioner Company No.3 as on 31st March, 2017 the Assets and Liabilities are as follows:

(INR in Crore)

Liabilities	Amount	Asset	Amount
Share Capital	16.11	Non-current assets	646.31
Reserves and Surplus	196.62	Current Assets	79.38
Non-current liabilities	434.69		
Current liabilities	78.27		
Total	**725.69**	**Total**	**725.69**

The Copy of Audited Balance Sheet as on 31st March, 2017 of the Petitioner Company No.3 is shown as **Annexure G.**

It is further averred that, the benefits achieved by the proposed Scheme of Amalgamation are as follows:-

i.) Simplification of group structure by eliminating multiple companies in similar business thus enabling focus on core competencies and unlocking of value.

ii.) Greater efficiency in cash management of the amalgamated entity, and unfettered access to cash flow generated by the combined business which can be deployed more efficiently to fund organic and inorganic growth opportunities, to maximize shareholder value.

iii.) Cost savings are expected to flow from more focused operational efforts, rationalization, standardization and simplification of business processes, productivity improvements, improved procurement, usage of common resource pool like human resource, administration, finance, accounts, legal technology and other related functions, lead to elimination of duplication and rationalisation of administrative expenses.

The Board of Directors of the Petitioner Company No.1, Petitioner Company No.2 and Petitioner Company No.3 at their respective meeting(s) held on 16th January, 2017, 9th January, 2017 & 14th February, 2017 respectively have approved and adopted the Scheme. The relevant extracts of the respective Board Resolutions are shown as **Annexure H** Series.

It is averred that, no investigation proceedings are pending against the Petitioner Company No.1, Petitioner Company No.2 and Petitioner Company No.3 under Sections 235 to 251 or any other provisions of the Companies Act, 1956 or Sections 206 to 229 of the Companies Act, 2013 as may be applicable.

The Petitioner Company No.1, Petitioner Company No.2 and Petitioner Company No.3 had filed Company Application No.(CAA) 55/BB/2017 before this Tribunal. This Tribunal vide Order dated 31st August 2017 has dispensed with convening meetings of the Unsecured Creditors of the Petitioner Company No.1 and Petitioner Company No.2 and has directed convening of separate meetings of Equity shareholders of the Petitioner Company No.1, separate meetings of Equity shareholders, Preference Shareholders and Secured Creditors of the Petitioner Company No.2 and further directed separate meetings of Equity Shareholders, Preference Shareholders, Secured Creditors and Unsecured Creditors of the Petitioner Company No.3 for the purpose of considering, and if thought fit, approving with or without modification the Scheme of Amalgamation between MEMG Holdings Private Limited and Manipal Education & Medical Group India Private Limited with Manipal Integrated Services Private Limited and their respective shareholders and creditors under sections 230 to 232 read with Section 52 and 66 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013. A copy of the Order dated 31st August 2017 passed by this Hon'ble Tribunal in Company Application No.(CAA) 55/BB/2017 is shown as **Annexure-K.**

In pursuant to the same Chairmen appointed for convening the respective meetings of the Equity Shareholders, Preference Shareholders, Secured and Unsecured Creditors of the respective Petitioner Companies have submitted their respective Reports stating that the Resolutions for the proposed merger of the Petitioner Companies as follows:

That the meetings of the Equity Shareholders of the Petitioner Company No.1 was attended by 2 (two) Equity Shareholders, either in person or by proxy and the total value of their shares is INR 4,75,00,000 representing 100% of the total Equity Share of the Petitioner Company No.1 and they unanimously approved the scheme.

That the meetings of the Equity Shareholders, Preference Shareholders and Secured Creditors of the Petitioner Company No.2 was convened, held and the Resolutions for the proposed scheme of the Petitioner Companies was unanimously approved in all the respective meeting(s).

That the meetings of the Equity Shareholders, Preference Shareholders and Secured Creditors of the Petitioner Company No.3 was convened and held that:-

1) The Equity Shareholders meeting was attended by 7 Equity Shareholders either in person or by proxy and the total value of their shares is INR 11,86,68,970/- representing 98.29% of the total Equity Share of the Petitioner Company No.3 and they unanimously approved the scheme. Therefore, the resolution approving the Scheme of Amalgamation was passed by requisite majority.

2) The Preference Shareholders meeting was attended by 1(one) Preference Shareholder in person and the total value of their shares is INR 4,03,6.970/- representing 100% of the total Preference Share of the Petitioner Company No.3 and meeting unanimously approved the scheme. Therefore, the resolution approving the Scheme of Amalgamation was passed by requisite majority.

3) The Meeting of the Secured Creditors of the Petitioner Company No.3 was attended by 2 (Two) Secured Creditors, either in person or by proxy and the total value of their debts is INR 4,49,90,03,382/- representing 99.94% of the total value of the secured debts of the Petitioner Company No.3. The said scheme was read and explained by the Chairperson, Mr. Sandeep Gururaj in the meeting and it was resolved unanimously with requisite majority representing 100% of the amount of the Secured Creditors present at the meeting to approve the scheme.

4) The Meeting of the Unsecured Creditors of the Petitioner Company No.3 was attended by 18 (Eighteen) Unsecured Creditors, either in person or by proxy and the total value of their debts is INR 3,20,18,975/- representing 10.63% of the total value of the unsecured debts of the Petitioner Company No.3. The said scheme was read and explained by the Chairperson, Mr. Sandeep Gururaj in the meeting and it was resolved unanimously with requisite majority 17 (Seventeen) Unsecured Creditors representing 98.11% of the amount of the Unsecured Creditors present at the meeting to approve the scheme. Further, the vote of balance 1 (one) Unsecured Creditor representing 1.89% of the amount of the Unsecured Creditors present at the meeting were found to be invalid. However, the said invalid votes also supported the Scheme.

The Copies of the Chairman's Report in the respective meeting(s) of the Petitioner Companies and Affidavit are filed along with **Memo dated 17th October, 2017** shown as **Annexure-L** Series.

The Counsel for the Petitioner Companies has filed **Memo dated 7th November, 2017** seeking directions to issue notice(s) to Regional Director, South Eastern Region; Registrar of Companies, Karnataka; The Asst. Commissioner of Income Tax (Circle 2(2) & The Asst. Commissioner of Income Tax (Circle 4(1) (2) (with Assessment details of the Petitioner Companies) and also to the Official Liquidator and to issue notice by way of paper publication in "**The Financial Express**" English Daily Bangalore Edition and "**Udayavani**" Kannada Daily Bangalore Edition.

This Tribunal vide Order dated 7th November, 2017 directed the Petitioner Companies to issue Notice to Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad; Registrar of Companies, Karnataka, Official Liquidator and concerned Asst. Commissioner of Income Tax and also to have an advertisement of Notice of Petition be carried out in the '**The Financial Express**', an English daily Newspaper and '**UdayaVani**', a Kannada daily Newspaper and stating the next date of hearing as 22nd December, 2017.

In pursuant to the same the Counsel for the Petitioner Companies has filed the **Compliance Affidavit dated 4th December, 2017** of the respective Authorised Signatories of the Petitioner Companies for carrying out the Advertisement of the Company Petition and issuance of notices to Regional Director, South-East Region, Ministry of Corporate Affairs, Hyderabad; Registrar of Companies, Karnataka and concerned Asst. Commissioner of Income Tax and also to the Official Liquidator. The Copies of Paper Publication are shown as **Annexure A1 & A2** and copies of notice(s) to the above said authorities are shown as **Annexure B, C, D & E.**

It is also stated in the Compliance Affidavit dated 4th December, 2017 that there are no other sectoral regulators to whom notice is required to be issued in respect of the above petition as the Petitioner Companies are unlisted companies.

Therefore issuance of notice to any of the Stock Exchange is not required and the applicable authorities have already submitted their respective reports.

The Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad has filed its **Affidavit dated 21st December, 2017** has made the following observations:

a) The valuation report did not specify share exchange ratio. The reasons for the same needs to be explained by the Petitioner Companies.
b) The Scheme provides for change of name of Transferee Company from M/s Manipal Integrated Services Private Limited to M/s Manipal Education and Medical Group India Private Limited. However, the same shall be subject to availability of new name and to filing of necessary e-forms with ROC along with necessary filing fee and further stated that, the Petition may be decided on merits.

The Registrar of Companies, Karnataka, Bangalore vide his report bearing No. ROCB/Legal/C.P CAA/71/BB/2017 dated 12th December 2017 has made an observation that, there are no prosecutions, complaints, technical scrutiny/inspection pending in this office on the petitioner companies and the petition of the company may be decided on merits.

In pursuant to the observations made by the Regional Director, South East Region, Ministry of Corporate Affairs, Hyderabad the Counsel for the Petitioner Companies has filed the **Affidavit dated 29th January 2018** of the respective Authorised Signatories of the Petitioner Companies stating that:

1) In so far as the observation made in point 3(a) of the Affidavit, we submit that clause 3.4 of the Valuation Report date 3rd January 2017 issued by Parimal Ram & Pattabhi, Chartered Accountants details the share exchange ratio for the purposes of the said Scheme. The copy of the said Valuation Report is shown as **Annexure-A**.

2) In so far as the observation made in point 3(b) of the Affidavit, we submit that, the Transferee Company undertakes to file necessary e-form alongwith the requisite filing fees with the Registrar of Companies, Karnataka, Bangalore, as applicable to give effect to change of name of Petitioner Company No.3 from M/s Manipal Integrated Services Private Limited to M/s Manipal Education and Medical Group India Private Limited.

On the prayer made by the Official Liquidator in OLR No.183/2017 in C.P.(CAA) No.71/BB/17, vide order dated 22nd December 2017 M/s S.H & Co., Chartered Accountant was appointed to scrutinize the Books of Accounts and records of the Petitioner / Transferor Companies.

Pursuant to the same, the Official Liquidator has filed a report in OLR.No.26/2018 in C.P.(CAA) No.71/BB/17 on 23rd February 2018 stating that M/s S.H & Co., Chartered Accountants submitted report dated 29th January 2018 and has concluded in the report as under:

a) The Transferor companies have maintained proper books of account, statutory registers and other related records as required by the Companies Act, 1956 and further provisions of Companies Act, 2013 and Companies (Compromises, Arrangement and Amalgamation) Rules, 2016 and are in compliance with the Accounting Standards specified under Section 133 of the Companies Act, 2013 read with Rule 7 of the Companies (Accounts) Rules 2014.
b) The affairs of the Transferor Companies have not been conducted in a manner prejudicial to the interest of the members or general public.

The Official Liquidator further stated that, the petition may be disposed off on its own merit after hearing the objections if any by other sectoral regulator and transferor Companies may be dissolved without winding up by this Hon'ble Court, and/or any further order/orders as may be deemed fit and proper in the facts and circumstances of the case.

The Counsel for the Petitioner Companies has also filed the Share Exchange Ratio Certificate of the Chartered Accountant **dated 3rd January 2017** making Recommendation of Share Exchange Ratio for the proposed merger of **MEMG Holdings Private Limited** (Petitioner Company No.1), **Manipal Education & Medical Group India Private Limited** (Petitioner Company No.2) to be merged with **Manipal Integrated Services Private Limited** (Petitioner Company No.3). The said Share Exchange Ratio Certificate issued by the Chartered Accountant is shown as **Annexure A** to the Affidavit.

The Counsel for the Petitioner Company has also filed the copies of Accounting Treatment Certificates of the Chartered Accountant **dated 8th September 2017** stating that the Accounting Treatment contained in Clause 11 & 12 in the Scheme is in conformity with the Applicable Accounting Standards notified under Section 133 of the Companies Act. The Copies of the said Certificate are shown as **Annexure M series**.

After hearing the Counsel for the Petitioner Companies and considering the material on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy,

THIS TRIBUNAL DO FURTHER ORDER

The Scheme of Amalgamation of **MEMG Holdings Private Limited** (Petitioner Company No.1), **Manipal Education & Medical Group India Private Limited** (Petitioner Company No.2) to be merged with **Manipal Integrated Services Private Limited** (Petitioner/Transferee Company No.3) and shall be binding upon all the Shareholders and Creditors of the Petitioner Companies is **SANCTIONED**.

While Approving the Scheme, we make it clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Petitioner Company No.1 and Petitioner Company No.2 be transferred without further act or deed to the Petitioner Company No.3 and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the Petitioner Company No.1 and Petitioner Company No.2 for all the state and interest of the Petitioner Company No.3 therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Petitioner Company No.1 and Petitioner Company No.2 be transferred without further act or deed to the Petitioner Company No.3 and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Petitioner Company No.3; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Transferor Companies be continued by or against the Petitioner/Transferee Company, if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Arrangement to be delivered to the Registrar of Companies for registration in accordance with Rule 25(7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 30th November, 2016.

The Petitioner Company No.1 and Petitioner Company No.2 or its authorised signatory is directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Petitioner Company No.1 and Petitioner Company No.2 to the Petitioner Company No.3 for the purpose of section 239 of the Companies Act, 2013.

Any person shall be at the liberty to apply the tribunal in the above matter for any directions that may be necessary.

22/3/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

23/3/18

(RATAKONDA MURALI)
MEMBER, JUDICIAL